Faropoint

Date: 11/01/2023

PT & LP
Quarterly Update – Q3 2023

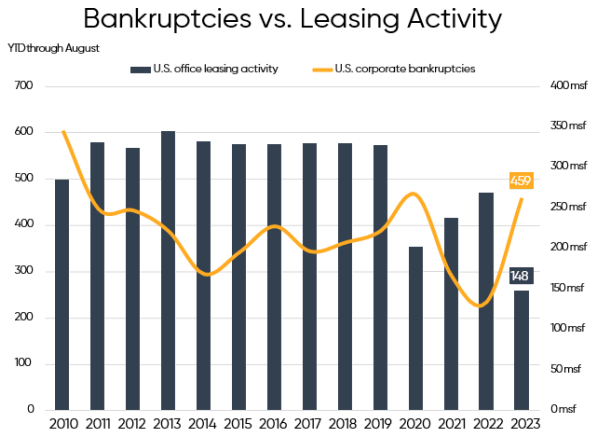
Dear Investors,

The office market's distress deepened in the second half of 2023 due to continued challenging economic conditions. This environment, characterized by high-interest rates and stringent credit requirements, has negatively impacted business investments, consumer spending, and transaction activity. Economic growth has slowed leading to reduced demand in the office market, and bank loans in this sector remain scarce. While the percentage of office properties with at-risk debt is relatively low, concern about the impending maturity of $45.4 billion in fixed-rate office loans by 2025 looms over both the commercial real estate and banking sectors. These loans are largely secured by Class A office properties with an average vacancy rate of 18.6%, indicating significant distress in the current climate[1].

The following recent articles highlight these default risks:

1. Risk of default is rising for $1.2 trillion of commercial real estate debt, August 26, 2023.
2. Real-Estate Doom Loop Threatens America's Banks, September 6, 2023.
3. 'Shark Tank' investor Kevin O'Leary warns commercial real estate woes will topple banks and throttle businesses, October 2, 2023.

Q3 witnessed slowed new lease transaction volume along with heightened renewal activity. Weighed by inflation and other headwinds, corporate bankruptcies have risen to 2020 levels, which will likely inhibit leasing activity further[2].



[1] Avison Young and Plante Moran - US Office Market, Q3 2023
[2] Avison Young US Office Market, Q3 2023

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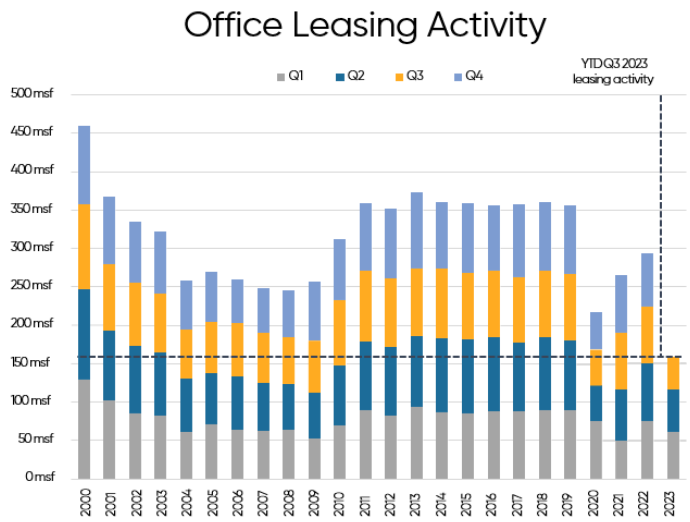
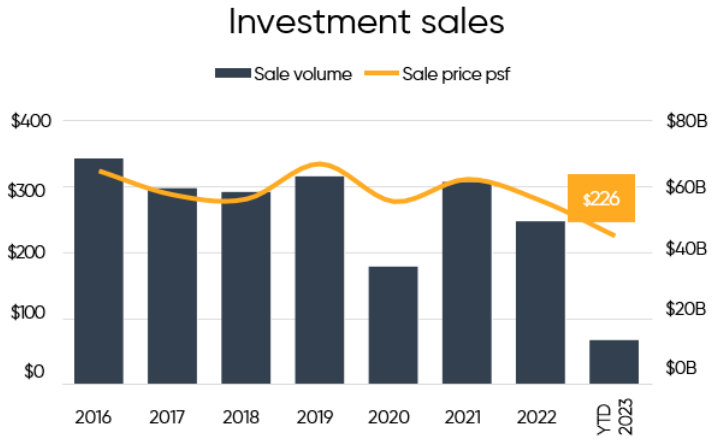
Similarly, deal flow to date in 2023 is down 33.8% vs. historical three-quarter averages, which highlights the current crisis in the office market in the United States[3].



Deal volume has also declined, highlighting the rise of opportunistic sales, limited institutional investment demand, and asset devaluations which have directly affected the office investment activity. YTD 2023 has seen $18B in investment sales, 69% lower than the preceding 10-year annual average. Additionally, the average sale price PSF fell by 21%, over $50 PSF, vs. prior year figures[4].



[3] Avison Young US Office Market, Q3 2023
[4] Commercial Edge National Office Report, Q2 2023

The **Memphis office** market continued to face challenges in Q3 2023 due to the broader macro-economic environment, and its recovery remains difficult. This quarter the market experienced negative net absorption of 47,000 SF, with vacancy increasing to 16.1%, 30-bps below the 10-year high. On the pricing front, overall average asking rents decreased to $19.30 PF, down from $19.56 PSF in Q2. **Deal flow continues to be impacted** from interest rate hikes, limited debt availability, and prevailing market uncertainties, posing continued challenges in the office market[5].

Poplar Towers & Lipscomb Pitts Project

- The Project, comprised of 2 buildings – Poplar Towers and Lipscomb Pitts, was acquired in November 2017 at a combined occupancy rate of 76%.
- Current occupancy levels for Poplar Towers and Lipscomb Pitts are 81% and 91% respectively, resulting in a combined current occupancy of 86%.

Poplar Towers

Multiple tenants faced challenges even before the pandemic, further exacerbated in Q3 due to hybrid work arrangements and financial constraints. Consequently, the building's occupancy saw a 2% decrease to 81%. We are in negotiations with iBank for a 2.5K SF space, which would counteract the Q3 occupancy decrease if executed, and we've toured two other banks for the entire ground floor (4K RSF), awaiting their feedback. Moreover, we've been engaging with our existing tenants, well in advance of their lease renewals, to gain understanding regarding their intent to renew and exploring ways to retain them. To increase property appeal and offer reduced move in times to prospective tenants, **we are in the process of constructing pre-built units in three different size ranges**, ensuring we're well-prepared to accommodate tenants of varying needs and preferences.

Lipscomb Pitts

As previously mentioned in the Q2 Quarterly Update, our decision to list the Lipscomb Pitts property for sale was based on its strong occupancy rate. However, we recognize the challenges posed by the current economic climate and the complexities within the banking sector, which have made it challenging to identify a suitable buyer. While we identified a potential buyer in Q2, they encountered difficulties in securing financing, leading to their withdrawal from the sale process.

5 Cushman & Wakefield Memphis Office Market, Q3 2023

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On October 27th, Christ Community, who signed a 7-year lease in Q4 2022 for 16,375 SF, informed us that they have severe business difficulties which will prevent them from taking possession of the space. We are working with the tenant and legal counsel to understand the ramifications of the situation and develop a solution.

Additionally, the primary loan of approximately $3.5 million is due in February 2024, and we are in discussions with the bank to explore potential extension options.

We will continue to keep you informed of further updates.

As always, we are here to answer any questions you may have.

Sincerely,
Faropoint

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